EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Lal-lo, the former Ciudad de Nueva Segovia, is strategically situated practically at the center of the Province of Cagayan. As the seat of both the civil and ecclesiastical government during the Spanish Regime, this town is rich in historical heritage and endowed with a lot of tourist attractions. It hosts a good number of caves, war garrisons, ruins of Spanish cultures, the shell midden site, beautiful and clean rural bodies of water and others. Its economic potential is further boosted by the presence of Magapit Suspension Bridge, which is the gateway to the Ilocos Region and the air facility of the Cagayan Economic Zone, the Lal-lo International Airport, as well as the establishment of the Cagayan Sub Capitol at Barangay Bangag.

Anyone can see the transformational Lal-lo today. It became a first-class municipality owing to its continuous growth under dynamic leadership. Along the way, the Local Government Unit received awards recognizing its accomplishments in terms of nutrition, solid waste management, over-all local governance, good financial housekeeping, disaster management, human resource development and others. It attests how the LGU manages to attune economic development to social and institutional growth of its more than 60,000.00 constituents.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Lal-lo, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	**2021**	**2020**	**Increase (Decrease)**
			Amount
Financial Position			
Assets	768,176,481.84	678,452,765.97	89,723,715.87
Liabilities	341,937,145.47	325,829,340.64	16,107,804.83

Particulars	2021	2020	Increase (Decrease)
			Amount
Govt. Equity	426,239,336.37	352,623,425.33	73,615,911.04
Financial Performance			
Income	402,502,462.27	361,257,495.59	41,244,966.68
Expense	334,355,251.39	312,339,842.66	22,015,408.73
Appropriations, Allotments and Obligation			
Appropriations	315,024,011.22	371,985,624.12	(56,961,612.90)
Obligations	235,527,625.38	278,716,679.83	(43,189,054.45)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2021 due to the following:

1. The accuracy and reliability of the Property, Plant and Equipment account appearing in the books of account totaling P366,184,300.63 as at December 31, 2021, cannot be determined due to the non-conduct of one-time cleansing procedures in its physical inventory, contrary to COA Circular 2020-006 dated January 31, 2020, thus, affecting the fair presentation of the LGU's financial position.

2. Road Network account balance amounting to P45,352,964.16 cannot be relied upon due to the non-compliance with the accounting and reporting guidelines, contrary to Items V and VI of COA Circular No. 2015-008 dated November 23, 2015, thus, affecting the fair presentation of the account in the financial statements.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Depreciation Expense was not provided for Power Supply System and Other Infrastructure accounts, with a total cost of P9,864,938.49 and P1,441,454.18, respectively, as at December 31, 2021, contrary to Philippine Public Sector Accounting Standard 17, thus, affecting the fair presentation of the accounts in the financial statements.

We recommended that the Management direct the Municipal Accountant to compute the depreciation expense for the Power Supply System and Other Infrastructure Accounts, prepare the lapsing schedule and draw the necessary journal entry to take up their depreciation expense for the current year and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with PPSAS 17.

2. Procurements of various supplies, drugs and medicines related to COVID 19 totaling to P17,247,135.63 were recorded as outright expenses instead of the appropriate inventory accounts, contrary to Section 51, Chapter 3, Volume I, of the New Government Accounting System for Local Government Units, hence safeguards thereon were not adequately undertaken.

We recommended that the Municipal Accountant record the receipt of an item of inventory as an asset, in accordance with Section 51, Chapter 3, Volume I of the New Government Accounting System for Local Government Units, and record the consumption/use thereof pursuant to Paragraph 44 of PPSAS 12. We also recommended that the Management maintain the necessary documents and records as a reference for materials and supplies availability and reconciliation of accounts.

3. Out of the thirty (30) priority development projects under the 20% Development Fund of the Municipality for the calendar year 2021, ten (10) projects totaling P6,668,000.00 were not implemented as at year-end, contrary to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.

We recommended that the Management fast-track the implementation of the current year and continuing development projects, in order to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% Development Fund in the ensuing year, pursuant to Section 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, for the benefit of the constituents of the Municipality.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	25,130,000.00	-	-	25,130,000.00	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	452,169.47	-	-	452,169.47	
Current Year	-	-	-	-	
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the twenty-four (24) audit recommendations of in the CY 2020 Annual Audit Report, nine (9) were fully implemented, eight (8) were partially implemented and seven (7) were not implemented as at year-end.